

startup founders should choose the correct investors who understand the perils of developing a hardware technology product startup. Seeking funding from ‘real estate investors’ who want 100% returns within a year is the same as drinking soup using a fork! The chef (investor) will keep on wondering why the soup (product) isn’t finished.

The government has announced multiple grants, such as the NIDHI (National Initiative for Developing and Harnessing Innovations) Prayas, aimed at providing prototype funding to convert an idea into a prototype of a product that has the potential for commercialisation for aspiring innovators.

Consortium of Electronics Industries of Karnataka (CLIK) President, Madhav R. Badsheshi, told EFY, “Schemes such as Nidhi Prayas provide a grant of ₹10 lakh (one million rupees) to startup companies or entrepreneurs. In the beginning, for making the initial prototype, this amount suffices but as you go up the ladder, you’ll need more funds. You’ll need a lot of money for a market survey alone! You’d need to study the market, and after getting the inputs, you’ll have to adjust your business plan.”

To reap maximum benefits from investors, entrepreneurs need to have a clear understanding and focus on what product they are going to build. Most of the work is already done if the innovator has a fine business plan. Along with that, the entrepreneur needs to highlight the innovation and explain what other options are already available in the market.

Investors need to know the reason they should invest in a particular startup. With a detailed but very articulate business plan, startup founders can convince the investors to invest in their startup even before

they come up with a minimum viable product (MVP).

Moving on from the ideation to an actual proof-of-concept (PoC) phase is the next challenge in the life of a startup. To come up with an MVP, the startup needs to go back to those customers they spoke to during the ideation phase.

“You need to have a set of specific questions for your customers

founders can do pricing discovery at this stage. He advises startups to engage in a repeatable kind of business that ensures recurring revenue, which would get the investors excited. “When you do a pilot PoC with the customer, do not go for a free PoC. At least get some money out of the customer. This way their willingness to pay gets tested,” he says.

Choudhury also underlines the importance of the founders doing the first few sales, instead of sending in a sales representative, to get the actual feedback from the customers.

Trudging through the last mile

A few years ago, a telecom infrastructure company in Chennai deployed the equipment to be used in a beautiful cast iron

casing. While the cast was designed to perfection, the company made one mistake. They forgot to put powder coating on the cast iron casing. Within a year of deployment, the telecom provider asked them to change the equipment as it had rusted and didn’t work anymore.

Renowned electronics industry advisor PVG Menon, who chaired the panel discussion at the IEW 2022, narrated the above story. It was to explain to the audience how the company had gone ahead with product development without understanding their deployment scenarios and support requirements.

More than often, companies develop their product in an industrial environment and forget to account for additional support requirements in a remote deployment scenario. Too many aspiring hardware startups struggle to distribute their talent and skill uniformly across all sectors of the business. Many times, the most efficient task force is deployed towards product development while



and constantly refine your idea to make it useful. Don’t try to boil the ocean at this stage and add up all of the features into one product. That will take another year,” cautions Bharat Innovation Fund partner Somshubhro Pal Choudhury.

Choudhury’s warning is further supported by Maker Village CEO, Nizamuddin Mohammed, who articulates the need for rapid prototyping. He says, “With every hardware product, you need rapid prototyping. We call it the fail-fast technique. You need to come up with a product fast, test it out with the customer in your target segment, and then iterate on it.”

Once customer interest is generated and the MVP is ready, startups need to start minting money. The sustainability of a startup depends entirely on how much money it has in its coffers and how it gets the cash flowing. Taking eyes off the cash flow at any time means a sure death for the startup.

Choudhury explains how startup